

Meridian Actuarial Advisors LLC

www.meridianactuarial.com

April 6, 2023

Lisa Hubbard
Chief Operating Officer
Wells, Walsh and Martinez

Dear Ms. Hubbard:

This letter confirms the terms on which we will study the funding policy for the retirement plan sponsored by Wells, Walsh and Martinez. It records the work we have agreed to do, what we will rely on, the standards the work is performed under, and the commercial terms. If it states our understanding correctly, please countersign and return a copy.

Background and Purpose

Wells, Walsh and Martinez has asked us to examine how contributions to the plan are presently determined, and whether that practice, continued, is likely to fund the promised benefits on an orderly schedule. Our understanding is that the firm has nothing set down in writing and that the contribution is decided year by year against the range indicated in the valuation report. That is common and not, by itself, a deficiency. It is hard to defend when the number moves.

A funding policy is a decision about how to pay for a promise over time. It is not a measurement and it is not a forecast, though it depends on both. We will keep the three apart: what the plan's data and current assumptions show; what we assumed in projecting the alternatives forward; and what, on that basis, we recommend. Where a recommendation rests on judgment rather than measurement, we will name the judgment.

Scope of Work

The study proceeds in five parts. We expect to review the first two with your staff before the projection work begins; a projection built on a misunderstood current practice is worse than none.

- Review of current practice: the cost method, the asset valuation method and any smoothing, the treatment of the unfunded liability and the period over

which it is being paid down, and, separately, the extent to which the amount contributed has followed the amount indicated.

- Statement of objectives. Working with you, we will set down what the firm wants the policy to achieve and in what order of priority. Benefit security, contribution stability, and equity between partner cohorts pull against one another; a statement that claims to maximize all three has not been thought through.
- Candidate policies: no fewer than three, each satisfying the objectives to a differing degree, and each expressed as a rule that can be applied in a year when we are not engaged.
- Projections of the funded position and the contribution under each candidate, deterministically on the current assumptions and on stressed variants, and stochastically where the distribution of outcomes rather than a single path is the question.
- Recommendation and a written policy the firm can adopt, with the disclosures it should carry and the cadence on which it is reviewed.

Outside this engagement, and available under a separate letter: the annual valuation and any opinion arising from it; benefit calculations for individual participants; plan design studies; advice on the investment of plan assets, on which we do not opine; auditor disclosure schedules; and any communication addressed to a party other than the firm and the plan's fiduciaries.

Information We Will Rely On

Our work relies on information furnished by the firm and its service providers: the participant census; the custodian's statements; the plan document and every amendment in effect; the recent valuation reports and their exhibits, whoever prepared them; and the contribution history. We will review what we receive for internal consistency and general reasonableness, and we will tell you promptly if something looks wrong. We will not audit it. If it is materially incomplete or inaccurate our results will be affected accordingly, and we do not accept responsibility for that. Where an item cannot be obtained we will assume, and disclose both the assumption and why we made it.

Professional Standards

The work will be performed in accordance with the Actuarial Standards of Practice promulgated by the Actuarial Standards Board, by actuaries who meet the applicable qualification standards. Robert Lawrence is responsible for the engagement and signs any statement of actuarial opinion arising from it. The revised standard on measuring pension obligations takes effect this year; a policy

study is not a funding valuation, but we will reflect it where it bears on how the measurements we use reach you.

The Engagement Team

Robert Lawrence, our Managing Actuary, is responsible for the work and will present the results. Michelle Banks, Actuarial Associate, will run the study day to day and will be your ordinary point of contact; her working papers document each step so a reviewer can retrace it. David Sherman, Senior Analyst, will reconcile the data and build the projection model. We understand that requests for information will go through Lisa Hubbard's office. We will not add a person to this engagement without telling you who and why.

Fee and Commencement

Our fee for the work described above is \$32,500. It is a fixed fee for the scope stated here; it is not an estimate and it does not vary with the hours we spend. Subject to your countersignature, we will commence on April 16, 2023 and expect the work to run approximately four months from that date, assuming the information arrives substantially as requested. Where a schedule of this kind slips, the cause is ordinarily the data rather than the analysis.

Fees and Payment

We will invoice the fixed fee in four equal monthly installments beginning in the first month, payable within thirty days of receipt. Reasonable out-of-pocket expenses, principally travel to meetings you ask us to attend in person, are billed at cost and are not included in the fixed fee. Work outside the stated scope will be performed only on your written authorization, at our standard hourly rates, quoted before it begins.

Term and Termination

The engagement begins on the commencement date stated above and continues until we deliver the recommendation and the draft policy, or until terminated. Either party may terminate on thirty days' written notice, with or without cause. On termination you will pay the portion of the fixed fee corresponding to the work performed to that date, and we will deliver the work product as it then stands, with its incompleteness disclosed on its face.

Confidentiality

We will treat the information you furnish as confidential and will not disclose it except to our personnel working on the engagement, to a party you authorize in writing, or where required by law, professional standards, or legal process, in which case we will notify you beforehand if permitted. This does not extend to information that is public or that we receive from a third party without restriction. Our working papers remain our property. This paragraph survives the engagement.

Limitation of Liability

Our work is prepared for the firm and the plan's fiduciaries, for the purpose stated here, and no other party may rely on it. Our aggregate liability arising out of this engagement, on any theory, is limited to the fees paid to us under it, except for our fraud or willful misconduct. Neither party is liable to the other for consequential, indirect, or punitive damages. Nothing we deliver guarantees any funded position, contribution, or investment result; actual experience will differ from every projection we prepare, by amounts we cannot know in advance.

Governing Law

This engagement is governed by the laws of the state in which our principal office is located, without regard to its conflict of laws rules, and any dispute arising out of it will be brought in the courts of that state.

Acceptance

If this letter sets out our agreement, please sign below and return a copy to us; the countersigned letter is the entire agreement between us on this engagement. If anything here reads differently to you than it was discussed, tell us before you sign rather than after.

Robert Lawrence

Managing Actuary

Date: April 6, 2023

Lisa Hubbard

Chief Operating Officer, Wells, Walsh and Martinez

Date: April 6, 2023